

Cholamandalam Investment & Finance Company Ltd

Ticker: CHOLAFIN Latest FY: 2024-03

ROE

17.46%

ROCE

3.51%

PE Ratio

16.79

Revenue

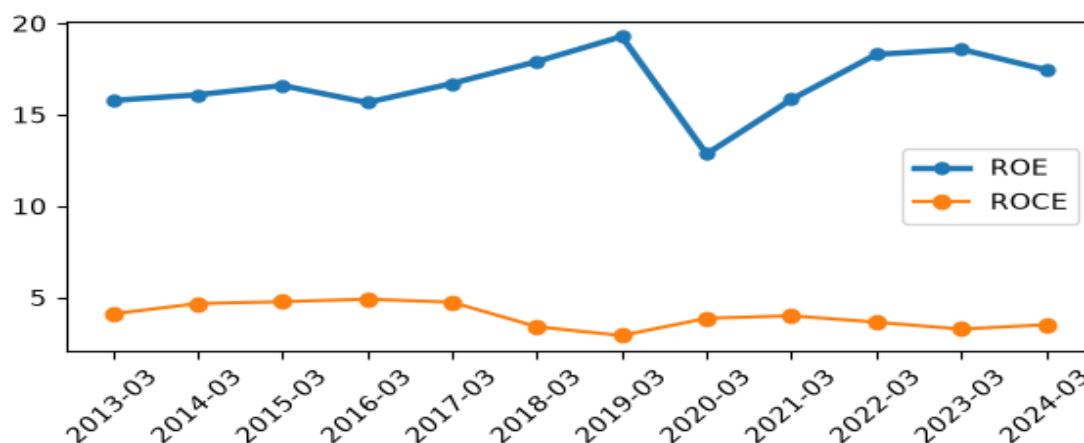
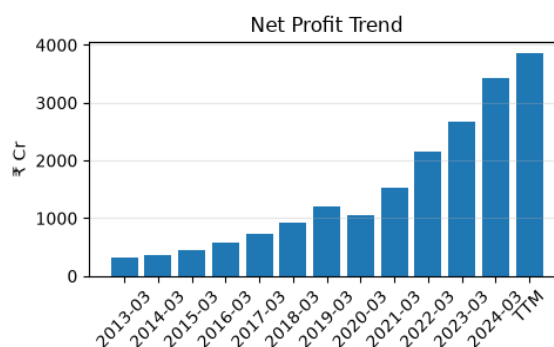
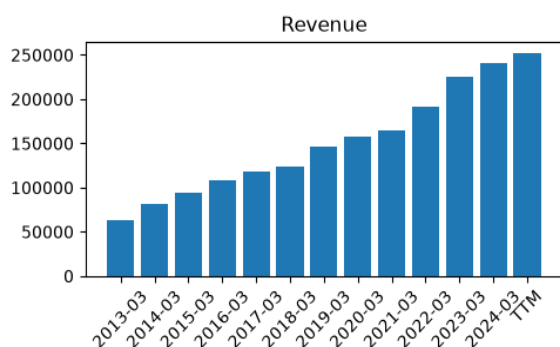
19,163 Cr

Market Cap

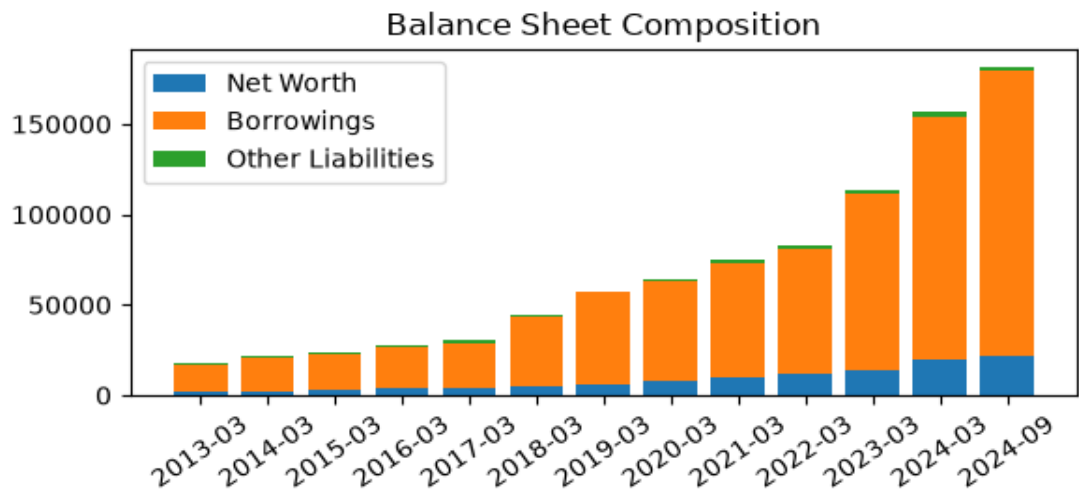
971,932 Cr

Free Cash Flow

-38,538 Cr



Balance Sheet Composition



Latest Cash Flow Summary

Metric	Value (Cr)
Operating Cash Flow	-35683.0
Investing Cash Flow	-2855.0
Financing Cash Flow	38471.0
Net Cash Flow	-66.0

Strengths

- ✓ Revenue growing above 15% CAGR reflects strong business momentum.
- ✓ Operating margins above 25% indicate strong pricing power and cost discipline.
- ✓ Net profit compounding above 20% creates significant shareholder value.
- ✓ Very high interest coverage reflects negligible financial stress from debt servicing.
- ✓ Profit growth outpacing revenue suggests improving operating leverage.

Weaknesses

- ✗ Debt-to-equity ratio of 6.86 indicates elevated financial leverage.
- ✗ Negative free cash flow raises concerns about cash generation quality.
- ✗ Very high debt levels significantly increase financial leverage risk.

- ✖ Return on capital employed below 10% indicates weak capital efficiency.
- ✖ Weak cash flow quality suggests lower earnings reliability.

Capital Allocation

Growth Funded by Debt